The economic history of recent times is replete with examples of economies that were supposed to have great potential but ultimately did not achieve rapid economic growth and improvements in standards of living. We also have, at the same time, instances of economies classified as *basket cases* that achieved rapid turnarounds. India's achievement in the post-reform period and South Korea's rapid transformation surely fall in this latter category. But India's continuing on a rapid growth path is not preordained. Besides favourable circumstances, it requires deft policy making and a broad vision of the future, possible risks, and opportunities. We stand at a crossroads where we need to develop a clear strategy for continued inclusive growth. Let us consider what might happen under different hypothetical scenarios based on informed estimates, which reflect the forces that will be at play: [47]

## I. Business as Usual

Big aspirations of the 'demographic dividend' are not bad provided India goes for the timely and right kind of preparations for it. But if the 'business as usual' style of functioning continues, fallouts may be highly ugly.

- Some improvement in infrastructure but only slow improvement in education, and no change in institutional structure such as business regulation and labour laws.
- Some movement from agriculture to low skill services such as construction and household work, as well as to informal manufacturing, but too few quality jobs.
- GDP growth settles into a comfortable 6-7 per cent, the new "normal".
- There is growing presence of unprotected workers in manufacturing and the possibility of rising labour frictions.
- There is immense pressure on education to make students job-worthy, but with organised manufacturing playing little role in training workers and imparting skills on the job, there is a continuing mismatch between employer needs and worker capabilities.